

SHRIRAMFIN — Shriram Finance Ltd

Sector: Financials | Sub-sector: Consumer Finance

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
15.1%	4.1%	20.3%	3.99	-31,359	18.6%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	9,177	1,028	11.1	2.9	-9,656
2016-03	10,359	1,184	11.6	3.0	-5,543
2017-03	10,903	1,266	11.2	3.0	-2,679
2018-03	13,502	2,549	18.6	3.9	-13,056
2019-03	15,536	2,576	16.1	3.6	-5,611
2020-03	16,561	2,512	13.8	3.0	-2,519
2021-03	17,422	2,499	11.5	2.5	-4,264
2022-03	19,255	2,721	10.4	2.5	-8,893
2023-03	30,492	6,020	13.8	3.9	-12,549
2024-03	36,388	7,399	15.1	4.1	-31,359

Financial health score: N/A | Band: nan

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	21,717	106,546	129,910	129,910
2022-03	26,095	114,846	142,268	142,268
2023-03	43,512	164,202	210,573	210,573
2024-03	48,947	195,496	248,266	248,266
2024-09	52,392	207,820	275,087	275,087

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	-2,464	-55	4,579	2,060
2021-03	-4,239	-25	12,226	7,962
2022-03	-8,859	-34	8,505	-388
2023-03	-17,625	5,076	11,820	-730
2024-03	-31,101	-258	27,609	-3,750

Capital allocation: **Distress Signal**

CFO quality score: 0 | CapEx intensity: 0.7% | FCF conversion: -298.0%

Pros

Revenue CAGR exceeds 15% over five years.; Profit CAGR exceeds 20% over five years.

Cons

Debt-to-equity exceeds 2x; leverage warrants attention.; Free cash flow is negative in the latest available year.; Free cash flow is not positive across the latest three-year window.; Interest coverage is below 1.5x.

